# WAVERLEY GATEWAY GUIDE

*Connecting International Capital with Emerging & Frontier Markets*

# BERMUDA

Americas

*Information current as of October 2026*

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

## WHERE AND HOW TO ENTER

### KEY INVESTMENT LOCATIONS

| Location / Region | Strategic Importance | Priority Sectors |
|---|---|---|
| Hamilton | Capital of this British Overseas Territory and seat of the Premier, Cabinet, Parliament, the Bermuda Monetary Authority and the Bermuda Stock Exchange; headquarters of the international (re)insurance market | Reinsurance, insurance, asset management, legal and professional services |
| Bermuda (re)insurance market (island-wide) | The commercial P&C market wrote $72.6 billion of net premium in 2024 on total assets of $338 billion, and Bermuda reinsurers incurred $1.34 trillion of claims globally over 2016–2025 | Property-catastrophe and life reinsurance, captives, insurance-linked securities |
| Southampton (Fairmont Southampton) | $550 million redevelopment of the island's largest resort, restoring 593 rooms in phases; the Palmetto Beach Club reopened in August 2026 | Luxury hospitality, construction, tourism services |
| Royal Naval Dockyard / West End | Principal cruise and marine-tourism area; cruise visitor spending rose 38% in 2025 and superyacht arrivals climbed 50.6% to 119 vessels | Cruise and marine tourism, superyacht services, retail |
| Former base lands (Bermuda Land Management Corporation) | Former military land available to qualifying companies for interests of up to 262 years, offering rare scale on a 21-square-mile island | Real estate, tourism, logistics, energy |
| L.F. Wade International Airport (St George's / St David's) | Main air gateway, about two hours from New York and 7.5 hours from London; air visitors rose to 29,426 in Q1 2026 from 27,649 | Aviation, tourism, business travel |
| Bermuda Stock Exchange (Hamilton) | Described by the BDA as a global leader in insurance-linked securities listings, supporting Bermuda's capital-markets-funded insurers | ILS listings, funds, debt and digital-asset securities |

### INVESTOR ENTRY ROUTES

- Bermuda Business Development Agency (BDA), the official investment promotion agency, offering concierge-level support across insurance, asset management, private wealth, digital finance and infrastructure

- Exempted companies formed by non-Bermudians to conduct business outside Bermuda; local companies follow a 60/40 Bermudian ownership and directorship rule, with Minister of Finance licences available for exceptions
- Corporate Income Tax Act regime: 15% CIT since 1 January 2025 applies only to groups with annual revenue of €750 million or more, supported by the Tax Credits Act 2025; other businesses remain untaxed on profits, dividends and capital gains
- Bermuda Monetary Authority (BMA) licensing for insurers, banks, funds and digital-asset businesses, including tailored routes for special purpose insurers, collateralised reinsurers and innovative insurers
- Digital Asset Business Act framework positioning Bermuda as a regulated hub for digital assets, linked to the government's on-chain economy initiative
- Bermudian dollar pegged 1:1 to the US dollar, which circulates on equal terms; conversion takes place through banks and carries a 1.25% foreign currency purchase tax
- Tourism Investment Act incentives for hotel and tourism projects, and special consents for land acquisition by companies with a physical presence

### MARKET-ENTRY OBSERVATION

Bermuda in October 2026 combines one of the world's highest income levels, a globally significant financial-services cluster and a markedly stronger public balance sheet. Real GDP grew 1.9% in 2024 to a nominal $9.19 billion (GDP per capita of $143,878), growth for 2025 is estimated at 2.5–3.0%, and the economy expanded a further 0.5% in Q1 2026, with inflation at 2.2% and unemployment at 1.4%, its lowest since 1970. The 15% Corporate Income Tax, introduced from 2025 to align with OECD global minimum tax rules, raised $279 million in 2025/26 and is expected to yield $753.2 million in 2026/27, underpinning a projected surplus of $472.7 million, full repayment of $605 million of debt in January 2027 and new stabilisation, sinking and sovereign wealth funds. Moody's upgraded Bermuda to A1 in May 2026, while S&P and KBRA affirmed A+ with positive outlooks, and Bermuda ranked first in Latin America and the Caribbean in the Global Financial Centres Index in April 2026.

Bermuda's main structural consideration is its concentration on international (re)insurance and high-value tourism within a small, high-cost island economy. This concentration is also its core strength: the market's scale, capital depth and regulatory standing have proved resilient through major catastrophe years, and international business employment reached a record 5,112 in 2025. Government policy is directing CIT revenues toward debt reduction and buffer funds, while the BDA is broadening the base into asset management, private wealth, digital finance, climate-risk solutions and infrastructure. Tourism is being refreshed through the $550 million Fairmont Southampton redevelopment and rising cruise and superyacht activity, creating opportunities for investors in hospitality, real estate, energy and services alongside the established financial sector.

## INVESTOR RISK & MARKET ACCESS

### KEY ENTRY BARRIERS

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| Concentration in (re)insurance and tourism | International business and tourism dominate output and foreign-exchange earnings, so global insurance cycles and travel demand shape growth | Diversification under the Economic Development Strategy 2023–2027 into asset management, digital finance and infrastructure is creating new entry points for investors |
| Corporate Income Tax for large groups | Groups with revenue of €750 million or more now pay 15% CIT, changing the tax calculus for the largest multinationals | The regime aligns with global minimum tax rules, the Tax Credits Act 2025 supports qualifying activity, and smaller businesses remain untaxed on profits |
| Land and local-ownership rules | Land holding by non-Bermudians and exempted companies requires government consent, and local companies follow the 60/40 ownership rule | Use business leases of up to 50 years, special consents for qualifying acquisitions, former base lands, or ministerial licences for local-market activity |
| High operating costs and a small labour pool | Total employment is around 33,730, and housing and staffing costs are high by international standards | Plan work-permit applications under the immigration framework early, partner with established service providers and focus on high-value, capital-light activities |
| Exposure to Atlantic hurricanes and | The island lies in the Atlantic hurricane | Bermuda's deep catastrophe-risk |

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| climate risk | belt, with potential short-term disruption to tourism and infrastructure | expertise supports robust planning and insurance, and climate-risk solutions are a BDA growth priority |
| International tax and transparency scrutiny | Offshore centres face continuing EU and OECD review; Bermuda is not on either EU tax list after the October 2026 update | Maintain economic-substance and beneficial-ownership compliance and use BMA-regulated structures |
| Currency conversion costs | The Bermudian dollar is fixed 1:1 to the US dollar, but conversion through banks carries a 1.25% foreign currency purchase tax | Hold operating balances in US dollars where permitted and factor the tax into local cost planning |

### INVESTOR RISK NOTE

Bermuda's risk profile is that of a mature, well-regulated and highly rated international financial centre with rapidly improving public finances. Moody's upgrade to A1 and positive outlooks from S&P and KBRA in May 2026 reflect sustained surpluses, falling debt and a debt burden expected to decline to 27% of GDP in 2026/27 from 49% in 2020. The introduction of the 15% Corporate Income Tax has been absorbed without loss of the island's standing, with record international business employment and continued new insurer formation. The principal considerations are economic concentration, exposure to Atlantic hurricanes, high costs and land and ownership rules that favour local control; all are well understood and manageable with early planning, local partners and appropriate regulatory structures. Investors can take comfort from Bermuda's English-common-law framework, its stable currency peg and the government's commitment to channel at least 70% of net CIT revenue into debt reduction and financial buffers.

### MARKET ACCESS

As a British Overseas Territory, Bermuda operates its own customs, tax and regulatory regime under English common law, with defence and foreign affairs the responsibility of the United Kingdom. Its market access rests above all on financial-services links: the United States accounted for around 62% of the $1.34 trillion in claims incurred by Bermuda commercial reinsurers in 2016–2025, Europe including the UK for about 15% and the rest of the world for 23%. The island lies about two hours by air from New York and 7.5 hours from London, and the US dollar circulates freely alongside the pegged Bermudian dollar. Bermuda's regulatory standing in the US and EU insurance markets, its position outside the EU's tax lists and its leading role in insurance-linked securities give investors direct access to North American and European capital and risk markets.

## WHO SHOULD THE INVESTOR MEET?

### INSTITUTIONAL LANDSCAPE

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| Office of the Premier and Ministry of Finance (Premier David Burt) | Sets economic, fiscal and tax policy, including the Corporate Income Tax and the new stabilisation, sinking and sovereign wealth funds | Primary reference point for Bermuda's strategic and fiscal direction |
| Government House (Governor Andrew Murdoch) | Represents the UK Crown, with responsibility for external affairs, defence and internal security | Relevant for understanding the UK–Bermuda constitutional relationship |
| Bermuda Business Development Agency (BDA) | Official investment promotion agency leading 17 initiatives under the Economic Development Strategy | Standard first point of contact for market entry and sector introductions |
| Bermuda Monetary Authority (BMA) | Integrated regulator for insurance, banking, investment and digital-asset businesses, and issuer of the Bermudian dollar | Essential counterpart for licensing and regulatory engagement |
| Bermuda Stock Exchange (BSX) | Leading exchange for insurance-linked securities listings | Listing venue for ILS, funds and capital-markets transactions |

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| Bermuda Land Management Corporation | Manages former military base lands available for long-term interests of up to 262 years | Key counterpart for large-scale real estate, tourism and infrastructure projects |
| Bermuda Chamber of Commerce | Represents local business and comments regularly on economic and GDP data | Useful channel for local partners, suppliers and market intelligence |

## CURRENT INTERNATIONAL BUSINESS CHANNELS

The Bermuda Business Development Agency is the central business channel, hosting the annual Bermuda Risk Summit (its fifth edition in April 2026), sponsoring the Bermuda presence at the Consensus digital-asset conference since 2018 and publishing an annual review of investment activity. The Bermuda Chamber of Commerce represents local business and comments regularly on economic data, while the island's major law firms and corporate service providers are a practical source of guidance on licensing, land consents and tax. Industry gatherings such as the Bermuda International Life & Annuity Conference bring together insurers, asset managers and regulators, and the Premier's regular overseas delegations offer direct access to government decision-makers.

## INVESTOR PROFILE BEST SUITED

Bermuda suits investors seeking a stable, highly rated, common-law jurisdiction with deep risk-capital markets: reinsurers, life and annuity platforms, captives and insurance-linked securities managers benefiting from the BMA's established framework; asset managers and family offices drawn by the private wealth and residency offer; and digital-finance firms working within the Digital Asset Business Act. Hospitality, real estate and infrastructure investors can engage through the Tourism Investment Act, special land consents and former base lands, building on the Fairmont Southampton redevelopment. Large multinational groups should factor in the 15% Corporate Income Tax, while smaller firms continue to benefit from the absence of tax on profits, dividends and capital gains.

## FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Bermuda Business Development Agency
Open dialogue with the BDA for sector introductions, regulatory navigation and current incentive options.

STEP 2: Agree the licensing route with the Bermuda Monetary Authority
Identify the appropriate insurance, investment, banking or digital-asset licence class and engage the BMA early on capital and substance requirements.

STEP 3: Model the Corporate Income Tax position
Assess whether the group falls within the €750 million threshold and which credits under the Tax Credits Act 2025 may apply.

STEP 4: Secure land, premises and people early
Plan business leases or special land consents and work-permit applications in advance, given Bermuda's local-control rules and small labour market.

STEP 5: Use industry forums to build relationships
Attend the Bermuda Risk Summit and BDA-led events abroad to meet regulators, government and market participants.